

Strategic Evaluation and Commercial Business Case

Positioning TM Pick n Pay as the Foundational Fulfillment Engine for an Open Multi-Tenant Marketplace and Electric Vehicle Last-Mile Logistics Grid

Prepared For: Board of Directors & Executive Committee, TM Pick n Pay

Date: September 2026

Prepared By: Lead Enterprise Architecture Consortium

Classification: **Strictly Confidential — For Internal Board Review Only**

Strategic Evaluation and Commercial Business Case

Positioning TM Pick n Pay as the Foundational Fulfillment Engine for an Open Multi-Tenant Marketplace and Electric Vehicle Last-Mile Logistics Grid

Document Reference: DOC-TMPNP-EXEC-2026-V2.4

Date: September 2026

Prepared By: Lead Enterprise Architecture Consortium

Prepared For: The Board of Directors and Executive Committee, TM Pick n Pay (Meikles Retail Limited)

Classification: Strictly Confidential — For Internal Board Review Only

Executive Memorandum and Strategic Rationale

The fast-moving consumer goods sector across Southern Africa, and within Zimbabwe specifically, is confronting a profound and irreversible structural transformation. Over the past decade, persistent macroeconomic volatility and shifting consumer shopping behaviors have rapidly accelerated the informalisation of retail trade.

While traditional brick-and-mortar supermarket branches situated within established upper-middle-class urban nodes continue to secure steady footfall, relying on physical store expansion as the primary vehicle for revenue growth yields diminishing returns. This stagnation is driven by heavy capital expenditure requirements, unpredictable long-term lease obligations, and escalating utility and power disruptions that threaten frozen food chains and general store operations.

To successfully defend its market share and unlock double-digit revenue expansion, TM Pick n Pay must intentionally transition away from a traditional, capital-heavy brick-and-mortar balance sheet posture. In its place, the enterprise must construct a high-margin, technology-enabled commerce ecosystem. This proposal details the comprehensive business case for positioning TM Pick n Pay as the exclusive foundational anchor tenant and primary wholesale supplier for an open-architecture, multi-tenant digital marketplace designed to function as the "Takealot of Southern Africa".

The core investment thesis driving this strategy rests on a fundamental departure from conventional digital commerce practices. Rather than allocating millions of dollars toward developing an insular, proprietary single-brand application—which inevitably suffers from high customer acquisition costs and low repeat transaction frequency—TM Pick n Pay can capture dominant market share by anchoring a multi-tenant digital ecosystem. This architecture is uniquely engineered to intercept two of the highest-liquidity capital flows operating in the region today.

First, it directly captures global diaspora remittances, which will generate a baseline of sixty-one million, two hundred thousand US dollars in annual retail Gross Merchandise Value. Second, it orchestrates informal township wholesale consolidation, effectively converting more than ten thousand independent spaza retailers into active, high-volume wholesale customers.

By seamlessly combining high-velocity online grocery commerce, bank-agnostic multi-currency payment orchestration (supporting USD, GBP, ZAR, AUD, and EcoCash), and a dedicated, platform-owned electric vehicle last-mile logistics grid, TM Pick n Pay will establish an unassailable commercial moat across both domestic and cross-border consumer touchpoints.

Macroeconomic Context and Market Informalisation

An empirical diagnostic of the Zimbabwean consumer goods economy reveals four underlying structural frictions that have systematically eroded the efficiency of the traditional supermarket value chain.

The first friction is the intense informalisation of townships. Currently, over seventy percent of fast-moving consumer goods volume in urban centres moves entirely through informal tuck-shops and spaza shops. These micro-retailers provide localized proximity and hyper-flexible product pack sizes that formal supermarkets cannot match under legacy operational configurations.

The second friction is the widespread infiltration of the gray market. Unregulated cross-border operators, commonly known as "runners," continuously haul basic commodities from South Africa and Mozambique directly into local communities. By evading statutory import duties and operating without formal corporate overheads, these runners consistently undercut formal retail shelf prices.

The third friction stems from inefficiencies in diaspora remittances. While over two billion US dollars flow into Zimbabwe annually via diaspora corridors, these funds suffer from punitive cash transfer fees ranging from seven to fifteen percent. Furthermore, these funds face significant cash diversion, where money intended for household sustenance is spent on non-essential items rather than verified grocery and wellness delivery.

The fourth and final friction is the heavy commute penalty imposed on local consumers. Legacy Click and Collect systems force local recipients to spend between two and four dollars on commuter omnibuses (kombis) and endure up to two hours of travel and queuing time just to collect their parcels. This friction actively depresses customer retention and limits the appeal of digital shopping to a narrow, affluent demographic.

When evaluating a strategic path forward, the enterprise must compare the conventional store model against the proposed multi-tenant logistics grid across several key strategic vectors. Under the conventional model, capital expenditure is exceptionally heavy, requiring between five hundred thousand and one and a half million US dollars per branch fit-out, which results in long, high-risk payback periods. The proposed multi-tenant grid operates on asset-light software combined with decentralized, low-cost electric vehicle staging micro-hubs.

In terms of market reach, a conventional store is restricted to a narrow two-to-four-kilometer walking or driving radius. The digital grid, conversely, provides immediate, comprehensive metropolitan coverage across Harare, Bulawayo, Gweru, and Mutare.

When capturing diaspora foreign exchange, legacy stores act reactively, relying on walk-in customers who are frequently constrained by localized physical cash shortages. The marketplace grid allows for direct foreign card settlement directly into corporate Nostro USD accounts prior to dispatch, ensuring immediate liquidity.

Furthermore, while the conventional model views township spaza shops as competing adversaries—resulting in zero formal wholesale capture—the marketplace grid integrates these informal merchants as contracted business-to-business wholesale buyers via a lightweight mobile application.

Finally, consumer data under the legacy model is largely anonymous, captured via fragmented till slips and siloed loyalty card metrics. The multi-tenant grid establishes complete data control, generating continuous household telemetry, predictive replenishment triggers, and dedicated brand advertising feeds.

Strategic Opportunity and Enterprise Thesis

Single-retailer applications face crippling customer acquisition costs and low basket frequency because a dedicated courier fleet cannot achieve operational route density when serving only one retail catalog. The marketplace model addresses this by establishing an open-architecture, multi-tenant digital commerce platform.

TM Pick n Pay will act as the principal anchor retail partner and wholesale fulfillment backbone. By aggregating complementary commercial categories onto the platform—such as third-party pharmacies, hardware merchants, and local bakeries—the network achieves the maximum possible logistics route density. This collective volume drives down the per-delivery cost, making rapid home delivery economically viable across all urban income segments.

The Optimization Gap:

A multi million dollar distribution gap exists that can only be closed by an open

1. Diaspora Market – Buyers continue to buy via cross-boarder delivery, exposing a resilient remittance shopper market ripe for capture.
2. Informal Retail Traders – A wholesale supply gap exists, creating an opportunity to aggregate informal traders to distribution partners.
3. Customer Convenience – Online ordering and payment of goods plus doorstep delivery saves costs on transport, fuel, and time.

The Four Strategic Pillars of Value Creation

The commercial validity of this business case rests upon four distinct, interconnected strategic pillars designed to maximize enterprise value.

Pillar 01: Customer Closeness and Data-Smart Customer Lifetime Value

The platform re-establishes absolute consumer intimacy by building end-to-end digital visibility into household preferences, purchase velocity, replenishment frequency, and spending triggers across both domestic recipients and international diaspora buyers. The direct strategic impact of this data ownership is the transformation of passive, anonymous in-store footfall into active, predictive demand tracking. This allows TM Pick n Pay to deploy highly targeted, personalized basket incentives that systematically elevate customer lifetime value.

Pillar 02: Informal Market Aggregation and B2B Wholesale

Rather than resisting the informalization of the retail sector, this pillar formally embraces Zimbabwe's massive informal trading ecosystem. By targeting the ten thousand plus township spaza shops and tuck-shops, TM Pick n Pay steps forward as their primary bulk wholesale supplier. This commercial relationship effectively cleans informal supply chains and turns distributed local traders into affiliated distribution nodes for the parent company. The strategic impact is clear: it actively displaces unregulated cross-border gray market smuggling, minimizes counterfeit goods distribution, and mitigates unmanaged tax leakage, all while dramatically expanding TM Pick n Pay's physical market footprint with zero capital expenditure.

Pillar 03: Diaspora Capital Capture

This pillar establishes a direct, secure cross-border foreign currency inflow pipeline that intercepts transactions from the resilient global diaspora corridor, which encompasses between one hundred thousand and over five hundred thousand overseas sponsors living in South Africa, the United Kingdom, the United States, and Australia. The platform implements a seamless multi-currency checkout system that accepts USD, GBP, ZAR, and AUD, routing this premium remittance capital directly into corporate retail settlement accounts. The impact is transformative for the recipient, as it guarantees direct household doorstep delivery verification for overseas sponsors, completely eliminating cash diversion and securing guaranteed, high-margin retail spend for the enterprise.

Pillar 04: Intelligent Commerce and Corporate Data Lake

Underpinning the entire multi-tenant infrastructure is a unified corporate data lake driven by an advanced artificial intelligence layer. This engine powers real-time basket optimization, predictive stock replenishment algorithms, dynamic localized pricing models, and new high-margin monetization streams generated by selling verified retail telemetry back to fast-moving consumer goods brand manufacturers. The ultimate impact of this pillar is the complete elimination of the dangerous "data blindness" that currently plagues operators in highly informalized economies, serving as the foundational catalyst for long-term profitability, operational sustainability, and corporate adaptability.

Enterprise Platform Architecture and Data Lake Moat

The technical infrastructure required to support this ecosystem is structured around four distinct enterprise components.

At the user-facing layer sits the Multi-Tenant Storefront Engine, which powers both the public marketplace and the dedicated white-label tenant application operating via tmpnponline.co.zw. This ensures that TM Pick n Pay preserves its premium brand equity and direct customer relationships while sharing a centralized logistics grid with other non-competing tenants.

Financial transactions are processed through Bank-Agnostic Payment Rails. This component orchestrates incoming payments from international Visa, MasterCard, and PayPal networks, as well as regional ZAR Electronic Funds Transfers and dominant domestic mobile wallets including EcoCash and InnBucks. Crucially, the system ensures direct, instantaneous Nostro USD settlement into corporate accounts.

Operational inventory integrity is maintained via Real-Time Enterprise Resource Planning and Point of Sale Webhooks. These webhooks provide a direct, low-latency API sync with TM Pick n Pay branch POS systems to handle instant stock validation, localized pricing variations, and automated item substitution logic when specific products face temporary stockouts.

Finally, all generated data flows directly into the FMCG Brand Data Lake. By centralizing hyper-granular household consumption metrics, the platform creates an independent, highly profitable asset that can be safely anonymized and monetized back to manufacturers seeking verified retail telemetry in regions where consumer insights have historically been unobtainable.

Supply Chain Transformation: B2B Informal Trader Aggregation

The structural pivot of this business case requires a formal reassessment of the informal retail sector. Spaza shops should be engaged as TM Pick n Pay's most powerful decentralized distribution network. By introducing a structured business-to-business replenishment platform accessible via a affordable nine dollar and ninety-nine cent monthly subscription, TM Pick n Pay can safely capture high-volume bulk wholesale margins while entirely eliminating the credit, liquidity, and counterfeit product risks traditionally associated with informal trade and gray market sourcing.

This supply chain transformation operates via a highly efficient, three-step cycle.

First, informal merchants utilize a digital reordering process, purchasing staple bulk packs through a lightweight, zero-data mobile interface that requires no financial data expenditure and allows them to manage inventory without ever leaving their physical stores.

Second, the platform applies a automated wholesale price tiering model. TM Pick n Pay's consolidated volume purchasing power ensures that its wholesale pricing consistently beats the rates offered by informal cross-border runner syndicates, simultaneously protecting corporate wholesale margins and incentivizing local merchant loyalty.

Third, logistics fulfillment is handled via a scheduled cargo drop. Heavy-duty electric cargo tricycles deliver these bulk restocks directly to the storefront doors of the informal merchants within twenty-four to forty-eight hours, entirely eliminating the need for small-scale traders to secure expensive independent transport rentals.

Dedicated Green EV Logistics and Last-Mile Grid

The proprietary logistics engine is designed to scale dynamically from an initial deployment of five hundred units up to a comprehensive fleet of two thousand platform owned scooters and heavy-duty cargo e-tricycles. To optimize operational expenditure and build a highly motivated workforce, the fleet utilizes a structured twelve-month rent-to-buy period. Delivery riders pay fixed daily lease installments directly from their earnings until full asset ownership formally transfers to them at the conclusion of the year.

From an enterprise finance perspective, the capital cost of each vehicle is recovered rapidly, achieving full asset payback in approximately five months. Consequently, months six through twelve of the lease cycle generate direct, unencumbered profit for the platform.

Once ownership transfers to the rider, the platform shifts to a perpetual post-ownership fee model, maintaining a stable ten percent take rate on every completed delivery transaction routed through the system.

The physical fleet also functions as a powerful offline marketing network. Through livery advertising contracts, eighty percent of the mobile billboard space across the vehicles is dedicated to TM Pick n Pay branding, while the remaining twenty percent is opened to external tenant monetization, ensuring continuous visual circulation across dense, high-traffic urban corridors.

Ongoing asset protection and operational readiness are maintained via a mandatory in-house garage subscription. For a fee of eighteen dollars per month, riders receive centralized access to spare parts, rapid battery swapping networks, and structured preventative maintenance programs.

Furthermore, the grid enforces absolute social and geographical inclusivity through the deployment of specialized E-Tricycle Cohorts. These heavy-duty three-wheel cargo units are specifically allocated to and piloted by women rider collectives, ensuring equitable wealth creation and deep penetration into peri-urban and rural distribution pathways.

Algorithmic Basket Optimization and Empirical Price Audit

The core competitive advantage of the digital marketplace is driven by an automated algorithmic basket optimization engine. When a consumer compiles a multi-item grocery list on the application, the engine instantly analyzes the entire list and programmatically routes the complete basket to the single retail provider capable of delivering the lowest aggregate landed cost. This complex calculation simultaneously factorizes individual product prices, real-time localized stock availability, and proximity-based driver dispatch costs.

To validate the market dominance of TM Pick n Pay within this algorithmic routing framework, a rigorous empirical price audit was conducted across a standard twelve-item consumer grocery basket, evaluating major formal retail competitors. The audit established the following comparative baseline:

- TM Pick n Pay (Anchor Retailer): Secured a total landed basket cost of eighty-three dollars and forty cents. This represents the absolute lowest aggregate total, achieving full twelve-out-of-twelve item fulfillment and cementing its status as the automated system's default, best-value allocation choice.
- OK Zimbabwe: Delivered a total landed cost of eighty-seven dollars and ten cents. This represents a positive variance of three dollars and seventy cents, or an additional four point four percent cost over the baseline, despite achieving twelve-out-of-twelve item fulfillment, classifying it as a secondary fulfillment option.
- Spar Zimbabwe: Recorded a total landed cost of eighty-nine dollars and fifty cents. This reflects a positive variance of six dollars and ten cents, representing a seven point three percent premium over the baseline for twelve fulfilled items, placing it firmly in the premium tier category.
- Food Lovers Market: Produced a total landed cost of ninety-two dollars and eighty cents. This represents a significant positive variance of nine dollars and forty cents, or an eleven point three percent cost increase, while failing to achieve full fulfillment by delivering only eleven out of the twelve required items, restricting its positioning to a specialty and fresh-focus niche.

The strategic outcome of this pricing architecture is highly profound. Because TM Pick n Pay consistently maintains the lowest aggregate landed basket cost across basic necessities, the platform's algorithm guarantees that over eighty percent of all primary consumer orders are automatically and by default routed directly into TM Pick n Pay's fulfillment infrastructure.

Consolidated Financial Economics

The broader ecosystem configuration models a combined financial output of seventy-two million, three hundred forty-nine thousand, three hundred eighty US dollars in annual revenue. This performance is built upon a solid foundational baseline of sixty-one million, two hundred thousand dollars in pure retail grocery Gross Merchandise Value, driving an initial Phase 1 gross transactional flow of sixty-seven million, six hundred fifty-seven thousand, six hundred eighty dollars.

The total financial architecture scales across twelve distinct, complementary revenue streams divided into two operational phases.

Phase 1: Transactional GMV Streams

- Gross Retail GMV (Groceries/FMCG): Generates sixty-one million, two hundred thousand dollars annually, calculated on a baseline volume of seven hundred and twenty thousand unique orders carrying an average basket value of eighty-five dollars.
- Electric Last-Mile Delivery Fees: Contributes three million, two hundred and forty thousand dollars, derived from seven hundred and twenty thousand completed deliveries billed at a flat rate of four dollars and fifty cents per trip.
- Foreign Exchange Acquiring Surcharge: Secures one million, eight hundred and thirty-six thousand dollars through a targeted three percent processing surcharge applied exclusively to international cross-border card settlements.
- Diaspora VIP Priority Delivery Pass: Yields six hundred and forty-seven thousand, three hundred and fifty-two dollars, driven by an initial membership capture of five thousand, four hundred premium overseas users subscribing at nine dollars and ninety-nine cents per month.
- Retail Media Network (FMCG Ads): Captures seven hundred and thirty-four thousand, four hundred dollars by implementing a conservative one point two percent advertising take rate charged to major brands for premier placement and visibility on the marketplace app.

Phase 2: High-Margin Recurring B2B SaaS Subscriptions

- Retail Tenant Access Fees: Accounts for two hundred and five thousand, eight hundred dollars, supported by three hundred and fifty non-competing digital retail tenants paying forty-nine dollars per month to list their catalogs.

- **Rider App and Fleet Software Access:** Generates two hundred and sixteen thousand dollars, collected from one thousand, two hundred active delivery riders utilizing the proprietary routing and dispatch application at fifteen dollars per month.
- **Solar Garage Maintenance and Battery Swaps:** Produces two hundred and fifty-nine thousand, two hundred dollars, driven by one thousand, two hundred electric vehicle assets utilizing the centralized maintenance and charging infrastructure at eighteen dollars per month.
- **FMCG Brand Analytics and Data Feeds:** Secures eight hundred and ten thousand dollars, derived from forty-five major multinational manufacturing brands paying a premium subscription of one thousand, five hundred dollars per month to access verified consumer trend telemetry.
- **Domestic Consumer Fast-Pass:** Contributes two million, three hundred and ninety-five thousand, two hundred dollars, supported by a localized user base of forty thousand high-frequency domestic shoppers paying four dollars and ninety-nine cents per month for expedited delivery services.
- **B2B Tuck-Shop Platform Memberships:** Secures eight hundred and five thousand, five hundred dollars, driven by six thousand, seven hundred and twenty informal merchants paying nine dollars and ninety-nine cents per month to access wholesale pricing tiers and free scheduled drops.

When integrated across all twelve distinct transactional and subscription layers, the cumulative annual ecosystem output reaches exactly seventy-two million, three hundred forty-nine thousand, three hundred eighty dollars, establishing a high-margin recurring revenue stream independent of traditional physical retail expansions.

Commercial Partnership Structuring Options

To facilitate immediate deployment, the enterprise can evaluate two alternative commercial partnership structures, depending on the desired level of corporate integration and risk tolerance.

Option 1: Independent Concierge and Reseller Model

This option represents the fastest path to operational execution and carries zero direct retail risk for the parent company. Under this framework, the venture operates as a completely independent concierge entity that mirrors TM Pick n Pay's live inventory and catalog via a high-throughput API.

Diaspora and local shoppers execute their transactions entirely in foreign currency on the platform. The independent venture then purchases the required stock directly from TM Pick n Pay at a pre-negotiated wholesale discount and fulfills the order utilizing its own dedicated last-mile electric courier fleet.

The commercial model operates on a five-to-eight percent gross markup combined with a three-to-five percent wholesale rebate structure. Within this scope, TM Pick n Pay's obligations are strictly limited to providing continuous catalog and inventory data feed access via secure API endpoints, alongside establishing bulk wholesale pricing parameters and dedicating physical collection bays within existing stores.

Option 2: White-Label Software Licensing and Platform SaaS Model

This option represents a deeply integrated enterprise solution designed to construct a dominant, strategic long-term corporate moat. Under this model, the consortium deploys the complete cross-border storefront application, the consumer data lake, the intelligent algorithmic dispatch engine, and the rider fleet application suite as a fully licensed white-label extension integrated directly into tmpnponline.co.zw and TM Pick n Pay's core corporate ERP infrastructure.

The commercial consideration for this model is structured as a stable one point five to two point zero percent revenue share of the total Gross Merchandise Value moving through the platform.

The operational scope for TM Pick n Pay under Option 2 requires active brand ownership, direct customer relationship management, integrated marketing promotion, and complete corporate integration into its existing banking facilities, international merchant acquiring accounts, and domestic financial clearings.

Sixty-Day Pilot Charter and Implementation Roadmap

The practical execution of this strategy commences immediately with a highly controlled, sixty-day commercial pilot deployed exclusively at the Borrowdale Village Walk and Avondale flagship branches in Harare, utilizing an initial fleet of fifty electric vehicle units. The path toward national rollout is governed by a rigorous, structured implementation roadmap.

- **Sprint 01 (Weeks 1 to 3): Executive Alignment and Strategic Mandate.** This initial phase is dedicated entirely to achieving governance consensus, establishing formal architecture boundaries, and securing executive alignment across corporate leadership teams.
- **Sprint 02 (Weeks 4 to 7): Field Mapping and Pilot Merchant Densification.** This sprint focuses on detailed geographic field mapping around the primary Harare and Bulawayo supply hubs, alongside onboard testing of the initial wave of informal retail merchants.
- **Sprint 03 (Weeks 8 to 11): API Blueprinting and Secure Systems Integration.** Technical teams will finalize the API blueprints and execute secure systems integration across the corporate data lake, payment processing rails, and TM Pick n Pay's active ERP instance.
- **The 60-Day Pilot (Months 3 to 4): Live Operations across 2 Flagship Harare Branches.** This phase initiates live, controlled market validation and operations across the two designated flagship branches, utilizing the fully prepared live pilot prototype hosted at `pnpexpress.vercel.app`.
- **National Scale (Months 5 to 12+): Rollout Across 74+ Store Estate and Regional Corridors.** Following successful pilot validation, the ecosystem will scale nationally across the entire seventy-four plus store estate and key regional supply corridors, achieving absolute national omnichannel dominance.

Risk Management and Regulatory Safeguards

To protect corporate assets and insulate the enterprise against systemic shocks, the platform incorporates three robust risk-mitigation layers.

To counter foreign exchange volatility and safeguard multi-currency settlement, all offshore international clearings are configured to settle directly and automatically into TM Pick n Pay's domestic Nostro USD accounts, preventing exposure to localized currency fluctuations.

To manage inventory fluctuations and stockout risks, real-time inventory webhooks are embedded across the platform. If an item becomes unavailable at the point of fulfillment, the system instantly prompts the customer with an authorized equivalent brand alternative or triggers an automated micro-refund directly back to their digital wallet.

Finally, asset telematics and driver safety are monitored continuously via advanced hardware integrations. Every electric vehicle is outfitted with dual-SIM GPS tracking units, enforced geo-fenced delivery routes, remote battery shutoff capabilities for theft mitigation, and comprehensive fleet insurance coverage to protect the human and physical capital operating within the grid.

Governance Approvals and Executive Signatures

This document represents the formal strategic business case submitted for comprehensive board review and commercial sanction. By executing signatures below, the authorized executive leaders of both entities formally approve the constitution of the Joint Implementation Steering Committee and grant direct authorization for the immediate commencement of Sprint 01.

FOR: TM PICK N PAY (MEIKLES RETAIL LIMITED)

Executive Director / Managing Director

Signature:

Date:

FOR: PLATFORM INFRASTRUCTURE CONSORTIUM

Lead Enterprise Architect & Commercial Lead

Signature:

Date:

*** END OF STRATEGIC EVALUATION & COMMERCIAL BUSINESS CASE MEMORANDUM ***

FOR: TM PICK N PAY (MEIKLES RETAIL LIMITED)

Executive Director / Managing Director

Signature & Date

FOR: PLATFORM INFRASTRUCTURE CONSORTIUM